

and you can keep piling up very large sums of external money and still trade basically the same way with very little additional work.

Managing external money means that you have a fiduciary responsibility not only to stick strictly to the strategy you have been given the mandate to trade, but also to create relevant reports and analyses and keep proper paperwork. This may seem like a chore but the added required diligence should be a good thing and ensure that you act in a professional manner at all times.

The negative part with managing other people's money is that you have a little less freedom, because you need to stick to the plans and principles that you have sold to your investors. You likely need to take lower risk than you would have done with your own account as well. Some traders who just manage their own money may be fine with the prospect of losing 60–70% of the capital base in return for potential triple-digit annual returns, but this is a very tough sell for a professional money manager. Investors, and in particular institutional investors with deep pockets, tend to prefer lower returns with lower risks.

The business of managing futures can be a highly profitable one if done carefully and with proper planning. There are a large number of famous traders who have achieved remarkable results in this field since the 1970s and the number of public funds in this space keeps increasing.

From a business point of view, the deal is quite straightforward compared to most other types of enterprises. A little simplified, it could be described in these steps:

1. Find clients to invest money with you.
2. Trade futures on their behalf.
3. Charge clients a yearly fixed fee for managing their money, usually 1–2%.
4. Charge clients a yearly performance fee if you make money for them, usually 10–20% of the profits.

The nicest part of this business model is that it is no more difficult to manage US\$20 million than to manage US\$10 million; your cost base would be more or less the same but your revenues would double. This business model is very scalable and until you reach a very large asset base, you can use the same strategies in the same manner and just adjust your position sizes. Once you reach US\$500 million to US\$1 billion, you will for sure get a whole new set of problems when it comes to asset allocation and liquidity, but that is rather a pleasant problem to have.